TITLE: THE ACCOUNTING CYCLE

SUBTITLE: STEP-BY-STEP GUIDE TO UNDERSTANDING FINANCIAL TRANSACTIONS

BY ASMA KHATUN

Learning Objectives:

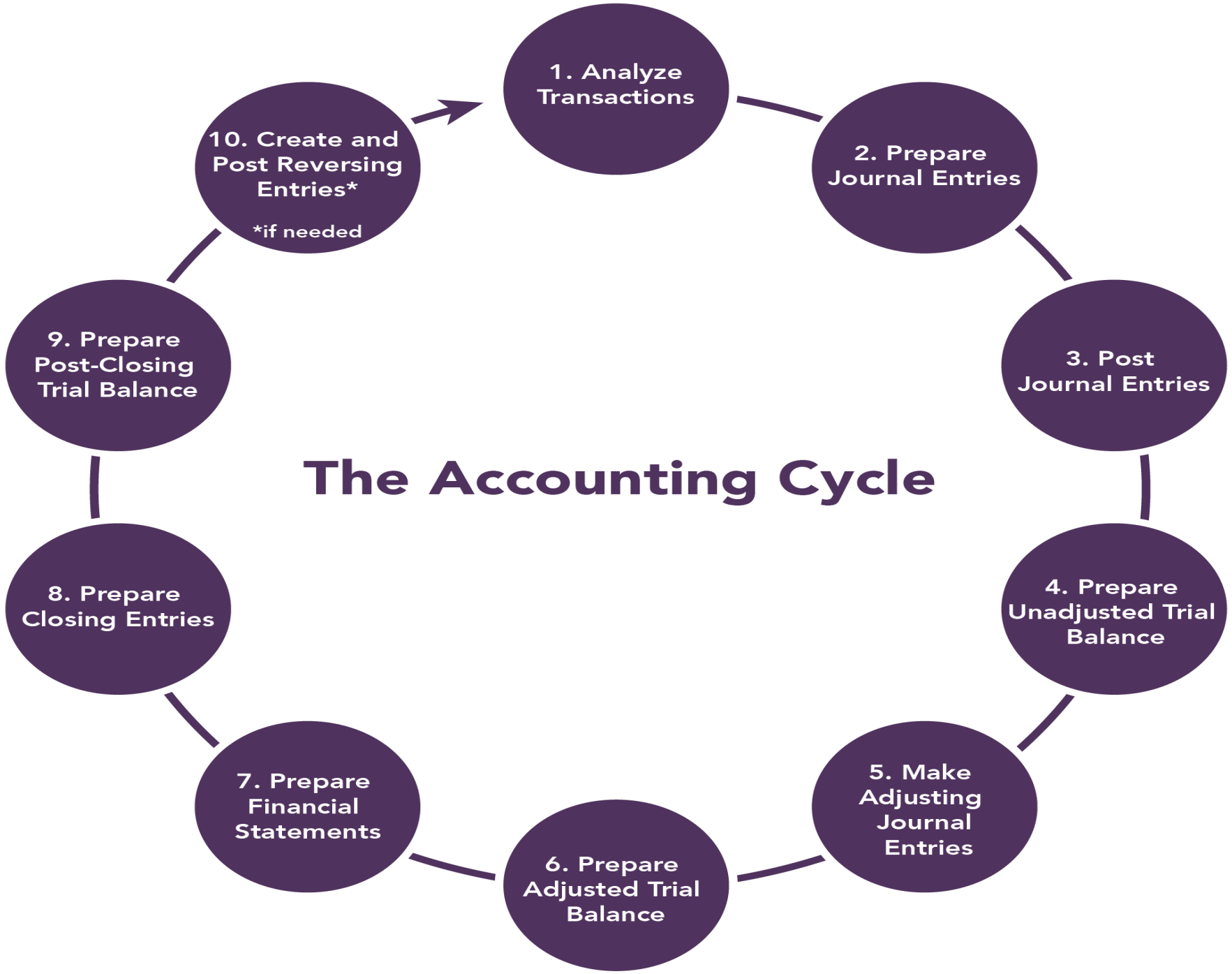
❖Understand the 09 steps of the accounting cycle.

❖Learn the importance of each step in financial reporting.

The **accounting cycle** is the process of **accepting, recording, sorting, and crediting** payments made and received within a business during a particular accounting period.

The accounting cycle is a collective process of **identifying, analyzing, and recording** the accounting events of a company.

- The accounting cycle is a process designed to make the financial accounting of business activities easier for business owners.
- The first step in the eight-step accounting cycle is to record transactions using journal entries.
- The eighth and final step is the closing of the books after preparing financial statements.
- The accounting cycle generally comprises a year or other accounting period.
- Accounting software today mostly automates the accounting cycle.


The Accounting Cycle
1. Analyze Transactions
2. Prepare Journal Entries
3. Post Journal Entries
4. Prepare Unadjusted Trial Balance
5. Make Adjusting Journal Entries
6. Prepare Adjusted Trial Balance
7. Prepare Financial Statements
8. Prepare Closing Entries
9. Prepare Post-Closing Trial Balance
10. Create and Post Reversing Entries*
*if needed

The **Accounting Cycle** is a nine-step process that records, summarizes, and reports a company's financial transactions.

1.Identifying and Analyzing Financial Transactions. This is the starting point, where a transaction such as a sale or a purchase is identified and analyzed for its financial impact.

Example:

1.Appoint a new employee.

2.purchase a furniture tk.5000 on account.

2.Journalizing the Transaction. The transaction is recorded in the company's general journal chronologically.

Example: furniture a/c dr. 5000

Accounts payable a/c cr. 5000

3.Posting to the Ledger. The transaction is then transferred from the journal to the relevant ledger accounts.

Furniture a/c

Date	Explanation	Ref	Dr.	Cr.	Balance	
					Dr.	Cr.
1.	Accounts payable a/c		5000		5000	

Accounts payable a/c

Date	Explanation	Ref.	Dr.	Cr.	Balance	
					Dr.	Cr.
2	Furniture a/c			5000		5000

4.Preparing unadjusted Trial Balance. This involves summing up all debits and credits in each account to verify that the company's books are balanced.

Serial no.	Accounts title	Ref.	Dr.	Cr.
1	Accounts payable			5000
4.	Furniture		5000	
Total.			**5000**	**5000**

5.Adjusting Entries. These correct any discrepancies before final financial statements are prepared. For instance, accrued expenses that haven't been invoiced yet.

Example: charge 10% depreciation furniture.

Date	Accounts title	Ref.	Dr.	Cr.
31/12/ 2024	Depreciation a/c – furniture dr. Accumulated depreciation a/c cr.		500	 500

6.Adjusted Trial Balance. After adjusting entries, a new trial balance is prepared to ensure the accounts are balanced.

Serial no	Accounts title	Ref	Dr.	Cr.
1.	Accounts payable			5000
2.	Furniture		5000	
3	Depreciation expense		500	
4	Accumulated depreciation			500
Total			**5500**	**5500**

7.Preparing Financial Statements. The company generates its statement of profit and loss, Statement of financial position, statement of cash flows, and statement of changes in equity.

Mr. X co.

Income statement

for year ended 31st December 2024

Particulars	Tk	Tk
Revenue Less: Expenses Depreciation expense loss	- 	- 500 (500)

Mr. X co.

Statement of financial position

for year ended 31st December 2024

Particulars	Tk	Tk
Fixed asset		
Furniture	5000	
Less: Accumulated depreciation	500	**4500**
Liabilities		
Accounts payable		5000
Owner's Equity		
Retain earnings (loss)		(500)
		4500

8.Closing the Books. All temporary accounts like revenue and expenses are closed, and the net income (or loss) is transferred to a permanent equity account.

Serial no	Accounts title	Ref :	Dr.	Cr.
1	Income summary dr. Depreciation a/c		500	 500
2.	Income summary dr. P/L accounts cr.		500	 500

9.Post-Closing Trial Balance. Finally, another trial balance is prepared to ensure the accounts are balanced after closing.

Serial no	Explanation	Ref	Dr	Cr
1.	Furniture a/c		4500	
2.	Acc.dep. a/c			500
3.	Accounts payable			4000

THE END